

T4	Accounting for retailing	Chapter 6 & Chapter 13: First hour activity: DQ 6.1, DQ 6.3, DQ 6.6, DQ 6.8, Ex 6.7, Ex 6.8 Second hour activity: DQ 13.1, DQ 13.9, Ex 13.2, Ex 13.5 P 13.16 - part a) and b) Worksheets/templates available on Moodle site.
T4	Accounting systems	Chapter 7: First hour activity: DQ 7.5, DQ 7.10, Ex 7.1, Ex 7.4, Ex 7.13 Second hour activity: Ex 7.14, P 7.21 Worksheets/templates available on Moodle site.

DQ 6.1 Define the term 'inventory' as used in the accounting standard AASB 102/IAS 2 Inventories. Are office supplies included in inventory? Why or why not?

The term '**inventory**' is defined in AASB 102/IAS 2 as assets:

- (a) held for sale in the ordinary course of business;
- (b) in the process of production for such sale; or
- (c) in the form of materials or supplies to be consumed in the production process or in the rendering of services.

For a retail organisation, inventory is the term which applies to goods or property purchased and held for sale in the ordinary course of business. Other assets held for future sale but not normally sold as part of the regular business activities, such as an item of used office equipment that is no longer needed, are not included in the inventory category. Office supplies also are not regarded as inventory, as such supplies are not held for sale in the ordinary course of business activities.

DQ 6.3 Discuss how gross profit on sales is calculated for a retail entity. Why are sales returns and allowances and purchase returns and allowances recorded in contra accounts to sales and purchases respectively? Why is freight inwards added to purchases but freight outwards treated as an expense?

This question assumes the use of the periodic inventory system.

To calculate gross profit on sales, subtract the cost of inventory sold from the dollar amount of net sales. The cost of inventory sold, or cost of sales, is determined, in monetary terms, as follows.

- Beginning inventory for the period:
 - + Purchases
 - + Freight Inwards
 - - Purchases Returns and allowances
 - - Ending inventory for the period
 - Net sales equals sales revenue less sales returns and allowances.

Under a periodic inventory system, sales returns and purchases returns are kept in separate contra accounts to provide better information as to the value, volume and proportion of sales which are returned from customers and purchases which are returned to suppliers. Under the periodic system, no detailed records are kept of inventory movements in or out, so recording

these items in separate accounts at least provides some information on inventory movements for management use.

Freight inwards is included in the cost of inventory because the cost of inventory, under the requirements of AASB 102/IAS 2, includes the invoice amount plus the costs incurred in the normal course of business in bringing inventories to their present location and condition. Freight outwards is regarded not as a cost of inventory but as a delivery expense resulting from a sale.

DQ6.6 The perpetual inventory system is superior to the periodic system. Discuss.

Advantages of the perpetual system over the periodic system.

The perpetual system:

- keeps a continuous record of all inventory movements so that, at any time, the entity knows how much inventory it should have on hand;
- allows the entity to calculate cost of sales at the time of the sale;
- allows better planning and control of the entity's inventory requirements through the provision of more timely information;
- is readily usable in computerised systems;
- allows accurate assessment of inventory stolen or lost when inventory records are compared with stocktake figures.

Disadvantages of the perpetual system compared with the periodic system.

The perpetual system:

- is more costly and more complicated to manage although this has become less significant with the use of computerised systems.
- is unsuitable for small, inexpensive or immaterial items in that the cost of maintaining the perpetual records may exceed the benefits from having such detailed records.

DQ6.8 Why do businesses that use a perpetual inventory system continue to perform a physical stocktake at least once a year?

The physical stocktake is used to verify the accuracy of the inventory records and determine the loss, if any, from theft, breakage and/or shrinkage.

Exercise 6.7**Income Statement — periodic inventory system**

Use the following information from the records of Packen Partners to prepare an income statement under the periodic inventory system for the year ended 30 June 2026. (LO2 and LO6)

Purchases	\$ 186 600
Inventory, 1 July 2025	13 860
Inventory, 30 June 2026	12 920
Selling and distribution expenses	45 420
Sales	268 860
Purchases returns and allowances	4 420
Sales returns and allowances	6 220
Administrative expenses	16 460
Freight inwards	3 180
Finance expenses	2 020

PACKEN PARTNERS			
Income Statement			
for the year ended 30 June 2026			
INCOME			
Sales Revenue:			\$268 860
Less: Sales returns and allowances			6 220
Net sales revenue			<u>262 640</u>
Cost of sales:			
Beginning inventory		\$13 860	
Purchases	\$186 600		
Freight inwards	3 180		
	<u>189 780</u>		
Less: Purchases returns and allowances	4 420		
Cost of net purchases		<u>185 360</u>	
Cost of goods available for sale		<u>199 220</u>	
Less: Ending inventory		<u>12 920</u>	
Cost of sales			<u>186 300</u>
GROSS PROFIT			<u>76 340</u>
EXPENSES:			
Selling and Distribution expenses		45 420	
Administrative expenses		16 460	
Finance and other expenses		<u>2 020</u>	
			<u>63 900</u>
PROFIT			<u><u>\$12 440</u></u>

Exercise 6.8**Income statement — perpetual inventory system**

Parkside Retail's account balances are shown below. Prepare an income statement under the perpetual inventory system for the year ended 30 June 2025. (LO2 and LO6)

Cost of sales	\$237 700
Inventory, 30 June 2025	28 000
Selling and distribution expenses	75 800
Sales	379 400
Sales returns and allowances	9 000
Administrative expenses	24 900
Freight inwards	4 700
Finance expenses	3 100

PARKSIDE RETAIL	
Income Statement	
for the year ended 30 June 2025	
INCOME	
Sales Revenue:	\$379 400
<i>Less:</i> Sales returns and allowances	9 000
Net sales revenue	370 400
Cost of sales (\$237 700 + \$4 700):	233 000
GROSS PROFIT	137 400
EXPENSES:	
Selling and distribution expenses	\$75 800
Administrative expenses	24 900
Finance expenses	3 100
	103 800
PROFIT	\$33 600

DQ 13.1 What costs should be included in the cost of an item of inventory?

According to IAS 2/AASB 102, 'cost' in relation to inventories comprises all costs of purchase, costs of conversion, and other costs incurred in bringing the inventories to their present location and condition. The cost of inventory therefore represents the sum of all direct and indirect costs incurred to bring the merchandise to a saleable condition and to its existing location. Cost includes the purchase price, import duties and taxes (other than those subsequently recoverable from tax authorities, such as GST), transport, handling charges such as insurance on the goods while in transit, and other costs directly incurred in acquiring the goods and bringing them to their present location and condition. Any trade discounts or rebates, or settlement discounts received, must be deducted to arrive at cost.

For a manufacturer, the cost of inventories under IAS 2/AASB 102 also includes the cost of conversion, which comprises all costs directly related to the units of production. Hence, the costs of direct labour, plus a systematic allocation of the entity's fixed and variable factory overhead costs incurred in converting raw materials into finished goods, are included in the cost of conversion. However, the following costs are excluded from the cost of inventories:

- the *abnormal* cost of wasted materials, labour and overhead
- storage costs, unless those costs are necessary before a further production stage
- administrative overhead costs that do not contribute to bringing the inventories to their present location and condition
- selling and distribution costs.

DQ 13.9 If the ending inventory is understated because of an error, what is the effect on profit in that reporting year and in the next reporting year? What is the effect on the value of assets as reported in the Statement of Financial Position at the end of each year?

If ending inventory is understated, cost of sales in that reporting year will be overstated and hence, profits will be understated. This is so because cost of sales is calculated basically by the formula:

$$\text{Cost of sales} = \text{Beginning inventory} + \text{Net cost of purchases} - \text{Ending inventory}$$

In the Statement of Financial Position, if inventory is understated at the end of the year, then obviously total assets are also understated. In the next year, assuming no additional errors, and assuming that the inventory is fully sold, there will be no error in the inventory balance at the end of that year.

Exercise 13.5**Inventory cost methods — perpetual inventory system****Non-GST version**

The following information relates to the inventory of the Denki Ltd during the month of August:

August 1	Beginning Inventory	60 units @ \$10
12	Purchased	90 @ \$12
15	Sold	80 units
21	Purchased	120 @ \$13
22	Sold	100 units
28	Sold	65 units

Denki Ltd uses the perpetual inventory method of accounting for inventory. Ignore GST.

Required

Determine the cost of the ending inventory. Note a physical stocktake verified inventory records reflected ending stock levels. The manager of Denki Ltd is evaluating inventory valuation methods and is seeking your assistance to calculate the value of closing inventory and cost of goods sold for each of the following methods:

- (a) FIFO
 - (b) LIFO
 - (c) Moving average; note, round unit cost to the nearest cent.
 - (d) Specific identification – records identified the ending inventory consisted of 5 units from beginning inventory, 12 units from the purchase on 12 August and the remaining from the purchase on 21 August.
- (LO3)

Suggested Solution:

(a)

(a). FIFO		Purchases			Sales			Balance		
Date	Explanation	Units	Unit Cost	Total Cost	Unit	Unit Cost	Total Cost	Units	Unit Cost	Total Cost
August 1	Beg. Invent.							60	\$10.00	\$600.00
12	Purchases	90	\$12.00	\$1,080.00				60	10.00	600.00
								90	12.00	1,080.00
15	Sales				60	\$10.00	\$600.00			
					20	\$12.00	240.00	70	12.00	840.00
21	Purchases	120	13.00	1,560.00				70	12.00	840.00
								120	13.00	1,560.00
22	Sales				70	\$12.00	840.00			
					30	13.00	390.00	90	13.00	1,170.00
28	Sales				65	13.00	845.00	25	13.00	\$325.00
							\$2,915.00			

Ending Inventory = \$325 Cost of Sales = \$2,915

(b)

(b). LIFO		Purchases			Sales			Balance		
Date	Explanation	Units	Unit Cost	Total Cost	Unit	Unit Cost	Total Cost	Units	Unit Cost	Total Cost
August 1	Beg. Invent.							60	\$10.00	\$600.00
12	Purchases	90	\$12.00	\$1,080.00				60	10.00	600.00
								90	12.00	1,080.00
15	Sales				80	\$12.00	\$960.00	60	10.00	600.00
								10	12.00	120.00
21	Purchases	120	13.00	1,560.00				60	10.00	600.00
								10	12.00	120.00
								120	13.00	1,560.00
22	Sales				100	\$13.00	1300.00	60	10.00	600.00
								10	12.00	120.00
								20	13.00	260.00
28	Sales				20	13.00	260.00			
					10	12.00	120.00			
					35	10.00	350.00	25	10.00	\$250.00
							\$2,990.00			

Ending Inventory = \$250 Cost of Sales = \$2,990

(c)

(c). Moving Average		Purchases			Sales			Balance		
Date	Explanation	Units	Unit Cost	Total Cost	Unit	Unit Cost	Total Cost	Units	Unit Cost	Total Cost
August 1	Beg. Invent.							60	\$10.00	\$600.00
12	Purchases	90	\$12.00	\$1,080.00				150	11.20	1,680.00
15	Sales				80	\$11.20	\$896.00	70	11.20	784.00
21	Purchases	120	13.00	1,560.00				190	12.34	2,344.00
22	Sales				100	\$12.34	1,234.00	90	12.34	1,110.00
28	Sales				65	12.34	801.89	25	12.34	\$308.11
							\$2,931.89			

Ending Inventory = \$308.11 Cost of Sales = \$2,931.89

Exercise 13.2**Inventory cost flow methods — periodic inventory system**

Inventories and purchases for the month of January for Good Buys Electrical Ltd are presented in the table below:

Date	Details	Units	Cost per Unit	Total
Jan 1	Inventory	13 500	\$27	\$364 500
7	Purchase	12 750	28	357 000
18	Purchase	23 250	30	697 500
25	Purchase	19 500	31	604 500
31	Inventory	27 000	-	-

Required:

Using the periodic inventory method, calculate the cost of sales for the month of January using the following cost flow assumptions:

i. FIFO

ii. weighted average.

(LO2)

Suggested Solution:**Workings:**

Date	Details	Units	Cost per Unit	Total
Jan-01	Inventory	13 500	\$27	\$364 500
7	Purchase	12 750	28	357 000
18	Purchase	23 250	30	697 500
25	Purchase	19 500	31	604 500
	Goods Available for sale	69 000		\$2 023 500
31	Inventory	27 000	-	-
	Inventory sold	42 000		

i). FIFO Cost of Sales

FIFO Ending Inventory

27 000 units	25 Purchase	19 500	units @	\$31	\$604 500
	18 Purchase	7 500	units @	\$30	225 000
		27 000			829 500

Goods Available for sale	\$2 023 500
Less Closing Inventory	829 500
Cost of Goods Sold	\$1 194 000

Or alternatively Cost of Sales

Inventory	13 500	units @	27	\$364 500
Purchase	12 750	units @	28	357 000
Purchase	<u>15 750</u>	units @	30	<u>472 500</u>
Cost of Goods Sold	42 000			\$1 194 000

ii). Cost of Sales - Weighted Average

Average cost per unit = \$2 023 500 / 69 000 units = \$29.33 per unit

Cost of Sales = 42 000 units x \$29.33 per unit = \$1 231 860

Problems**Problem 13.16****Inventory cost flow methods — periodic inventory system****Non-GST version**

The following information relates to the inventory of the ‘Coffee Bean’, a retail business that sells speciality coffee. A summary of the transactions for coffee beans are presented below for the month of June. Ignore GST.

Date	Details	Units	Unit Cost	Total
June 1	Beginning Inventory	12 000	\$ 5.30	\$ 63 600
8	Purchase	7 500	5.50	41 250
13	Purchase	6 000	5.60	33 600
25	Purchase	8 950	5.80	51 910
29	Purchase	9 200	6.30	57 960
	Total	43 650		\$ 248 320

The Coffee Bean has adopted the periodic inventory system for recording inventory. Sales totalled 35 650 units of coffee tea at a sales value of \$213 900. A physical stocktake at the end of June confirmed 8 000 units of coffee beans were on hand. Note, round to the nearest dollar.

Required

- (a) Prepare a Statement of Profit or Loss to calculate the gross profit for the month of June using each of the following costing methods:
 - i. specific identification, assuming that 9 500 units were sold from the beginning inventory, 6 500 units were sold from the first purchase, 5 000 units were sold from the 13 June purchase, 7 400 units were sold from the purchase on the 25 June and the remainder from the 30 June purchase.
 - ii. FIFO
 - iii. LIFO
 - iv. weighted average.
- (b) Which cost flow method(s) resulted in the highest gross profit on sales? the highest ending inventory? Explain your results.
- (c) Prepare a Statement of Profit or Loss to calculate the gross profit for June, using the FIFO and LIFO costing methods on the assumption that the purchase on 30 June did not arrive until the first week in July.

P13.16 Suggested Solution:

(a)

Workings: note – rounding applied

Date	Details	Units	Unit Cost	Total
Jun 1	Beginning Inventory	12,000	\$ 5.30	\$ 63,600
8	Purchase	7,500	5.50	41,250
13	Purchase	6,000	5.60	33,600
25	Purchase	8,950	5.80	51,910
30	Purchase	9,200	6.30	57,960
	Goods Avail for sale	43,650		<u>\$ 248,320</u>

Units sold	<u>35,650</u>	units
Ending Inventory	8,000	units

(i)

Specific Identification

Cost of sales - units

9,500 units	\$ 5.30	\$ 50,350
6,500 units	5.50	35,750
5,000 units	5.60	28,000
7,400 units	5.80	42,920
7,250 units	6.30	45,675
35,650 units		<u>202,695</u>

Ending inventory

2,500 units	\$ 5.30	\$13,250
1,000 units	5.50	5,500
1,000 units	5.60	5,600
1,550 units	5.80	8,990
1,950 units	6.30	12,285
8,000 units		<u>\$45,625</u>

(ii)

FIFO

	Units	Total Cost
Goods available for sale	43,650	\$ 248,320
Ending inventory (8000 units):		
8000 units @ \$6.30	(8,000)	(50,400)
Cost of sales	<u>35,650</u>	<u>\$ 197,920</u>

(iii)

LIFO

	Units	Total Cost
Goods available for sale	43,650	\$ 248,320

Ending inventory (8000 units):

8000 units @ \$5.30	(8,000)	(42,400)
Cost of sales	35,650	\$ 205,920

(iv)

<i>Weighted Average</i>	Units	Total Cost
Goods available for sale/Units available		
= \$248 320 / 43 650 units = \$5.69 per unit		
Goods available for sale	43,650	\$ 248,320
Ending Inventory 8000 @ \$5.69	(8,000)	(45,520)
Cost of Sales	35,650	\$ 202,800

(b)

Statement of Profit or Loss

	Spec. Ident.	FIFO	LIFO	W'ted Av.
Sales	\$ 213,900	\$ 213,900	\$ 213,900	\$ 213,900
Beginning inventory	63,600	63,600	63,600	63,600
Purchases	184,720	184,720	184,720	184,720
Goods available for sale	248,320	248,320	248,320	248,320
Ending inventory	45,625	50,400	42,400	45,520
Cost of sales	202,695	197,920	205,920	202,800
Gross profit	\$ 11,205	\$15,980	\$ 7,980	\$ 11,100

The highest gross profit was reported using FIFO. FIFO also reported the highest ending inventory balance since it is valued at the most recent higher prices of \$6.30. This is a result of the direct relationship between inventory values and profit. The higher the value placed on ending inventory, the higher the reported gross profit.

(c)

Workings:

<i>FIFO - excluding purchase 30 June</i>	Units	Total Cost
Goods available for sale	34,450	\$ 190,360
Ending inventory (8000 units):		
8000 units @ \$5.80	(8,000)	(46,400)
Cost of sales	26,450	\$ 143,960

<i>LIFO - excluding purchase 30 June</i>	Units	Total Cost
Goods available for sale	34,450	\$ 190,360
Ending inventory (8000 units):		
8000 units @ \$5.30	(8,000)	(42,400)
Cost of sales	26,450	\$ 147,960

Statement of Profit or Loss

	FIFO	LIFO
Sales	\$ 213,900	\$ 213,900
Beginning inventory	63,600	63,600
Purchases	126,760	126,760
Goods available for sale	190,360	190,360
Ending inventory (8000 units)	(46,400)	(42,400)
Cost of sales	143,960	147,960
Gross profit	\$ 69,940	\$ 65,940

DQ 7.5 Identify the major sources of cash receipts recorded in a cash receipts journal. Identify the major transactions which involve cash payments in the cash payments journal.

The major sources of cash receipts are cash sales, the collection of accounts receivable from customers, investments of capital by owners, sale of non-current assets and bank loans. The major transactions involving cash payments are cash purchases of inventories, payment of accounts payable, payments for various expenses including wages and taxes, and repayment of bank loans.

DQ 7.10 ‘Since nearly all accounting functions today are computerised, there is really no need for accountants to have an understanding of manual accounting systems.’ Do systems designers need to understand manual accounting systems? Discuss.

Despite the growth in demand for computerised accounting packages being used in business, there is always demand for students and accountants who have an underlying basic accounting knowledge. For example, to understand how Xero, MYOB, Quicken and other computerised packages work, you need to understand the basic workings of a manual accounting system (on which these computerised programs are modelled). Manual accounting systems studied in introductory accounting courses form the basis for understanding accounting and the financial reporting process. For this reason the study of manual systems is paramount to understanding basic business transactions and the associated practice. As indicated in the chapter, computerised accounting systems make extensive use of control accounts/subsidiary ledgers, and adapt the principles underlying special journals.

Exercises**Exercise 7.1****Subsidiary ledger and control account**

S. Hudson uses subsidiary ledgers and special journals in his accounting system. The accounts in the accounts payable subsidiary ledger for the most recent month are shown below:

E. Koumi				A. Packer			
CP	150	Bal. (b/d)	0	CP	180	Bal. (b/d)	180
		P	200			P	250
						P	210

T. Trinh				Y. Yue			
CP	230	Bal. (b/d)	490	CP	195	Bal. (b/d)	195
		P	255			P	310

Required

- (a) Prepare the Accounts Payable Control account showing the final balance of the account, assuming that all transactions are reflected in the above accounts.
- (b) Prepare a schedule of accounts payable to reconcile the subsidiary ledger with the control account.

(LO3)

(a)

Accounts Payable Control Account

Date	Explanation	Post Ref.	Debit	Credit	Balance
	Balance				865
	Purchases	PJ		1 225	2 090
	Cash at bank	CPJ	755		1 335

(b)

Schedule of Accounts Payable

E. Koumi	\$ 50
A. Packer	460
T. Trinh	515
Y. Yue	310
	<u>310</u>
	<u>\$1 335</u>

Exercise 7.4**Reconciling a control account and a subsidiary ledger**

Ollie's Outdoor Centre is owned and run by Oliver Baker, using the periodic inventory system and balancing her books at month-end. At 30 April 2025, the balances of the Accounts Receivable Control and Accounts Payable Control accounts were \$59 560 and \$34 570 respectively. Ignore GST.

A summary of her dealings with customers and suppliers for May 2025 follows.

Customers	Bal. b/d 1/5/22	Credit sales	Sales returns (unpaid goods)	Cash received	Discount allowed
Moses & Co.	\$15 540	\$4 900	(9 May) \$150	\$12 620	\$260
T. Nitshe	6 300	2 800	(11 May) 60	6 300	—
Nguyen Traders	12 000	6 160	—	10 970	220
Sampson Sales	21 280	2 240	—	16 360	400
Warner Wholesalers	1 500	1 950	(16 May) 90	1 500	—
Saito Sales	2 100	4 600	—	1 700	—
Pfitzner Pty Ltd	840	1 680	—	820	20
Rainsford Ltd	—	2 120	—	—	—

Suppliers	Bal. b/d 1/5/22	Credit purchases	Purchases returns (unpaid goods)	Cash paid	Discount received
Aster Suppliers	\$19 500	\$4 940	(8 May) \$230	\$14 000	\$280
Pekoe Products	—	2 470	—	—	—
Rainsford Ltd	13 900	7 600	(18 May) 280	11 460	230
R. Katspaw	1 170	1 820	—	1 150	20

The following additional information is available.

- 1. At Rainsford Ltd's request, on 31 May, Oliver Baker offset the amount owed by Rainsford Ltd against the amount owing to it.**
- 2. Ollie's Outdoor Centre paid Rainsford Ltd on 6 May, sold goods to Rainsford Ltd on 10 May, and purchased goods from Rainsford Ltd on 19 May.**

Required

- (a) Prepare the Accounts Receivable Control and Accounts Payable Control ledger accounts for the month of May 2025.**
 - (b) Prepare Rainsford Ltd's accounts payable subsidiary ledger account for the month of May 2025 in the accounting records of Ollie's Outdoor Centre.**
 - (c) Prepare schedules of accounts receivable and accounts payable as at 31 May 2025.**
- (LO3)**

(a) General ledger:

Accounts Receivable Control A/c

Date	Explanation	Post Ref.	Debit	Credit	Balance
1/5	Balance				59 560
9/5	Sales returns –Moses	GJ		150	59 410
11/5	Sales returns – Nitshke	GJ		60	59 350
16/5	Sales returns – Warner	GJ		90	59 260
31/5	Sales	SJ	26 450		85 710
31/5	Cash at bank and discount allowed	CRJ		51 170	34 540
31/5	Contra – Rainsford	GJ		2 120	32 420

Accounts Payable Control A/c

Date	Explanation	Post Ref.	Debit	Credit	Balance
1/5	Balance				34 570
8/5	Purchase returns – Aster	GJ	230		34 340
18/5	Purchase returns – Rainsford	GJ	280		34 060
31/5	Purchases	PJ		16 830	50 890
31/5	Cash at bank and discount received	CPJ	27 140		23 750
31/5	Contra – Rainsford	GJ	2 120		21 630

(b) Subsidiary ledger:

Accounts Payable – Rainsford Ltd

Date	Explanation	Post Ref.	Debit	Credit	Balance
1/5	Balance				13 900
19/5	Purchases	PJ		7 600	21 500
18/5	Purchase returns	GJ	280		21 220
6/5	Cash at bank and discount received	CPJ	11 690		9 530
31/5	Contra	GJ	2 120		7 410

(c) Note: both schedules below are prepared before the offset of the receivable and payable for Rainsford Ltd.

Schedule of Accounts Receivable

Moses & Co	\$7 410
T. Nitshke	2 740
Nguyen Traders	6 970
Sampson Sales	6 760
Warner Wholesalers	1 860
Saito Sales	5 000
Pfitzner Pty Ltd	1 680
Rainsford Ltd	<u>2 120</u>
	<u>\$34 540</u>

Schedule of Accounts Payable

Aster Suppliers	\$9 930
Pekoe Products	2 470
Rainsford Ltd	9 530
R. Kataspaw	<u>1 820</u>
	<u>\$23 750</u>

Exercise 7.13**Relating journals to the Accounts Payable Control account**

Hansford and Harding use purchases, cash payments and general journals with their accounting system. They also maintain an accounts payable subsidiary ledger, which contains the following accounts at 31 July.

L. Jessup

Date	Explanation	Post Ref	Debit	Credit	Balance
1/7	Balance				5 340
12/7		CP4	2 850		2 490

R. Kent

Date	Explanation	Post Ref	Debit	Credit	Balance
1/7	Balance				2 780
20/7		CP4	1 800		980

W. Lau

Date	Explanation	Post Ref	Debit	Credit	Balance
6/7		P6		5 100	5 100
21/7		P6		980	6 080
28/7		CP4	4 300		1 780

A. Machell

Date	Explanation	Post Ref	Debit	Credit	Balance
1/7	Balance				3 600
15/7		CP4	960		2 640
22/7		P6		760	3 400

B. Nicholson

Date	Explanation	Post Ref	Debit	Credit	Balance
1/7	Balance				6 120
15/7		GJ8	3 200		2 920
21/7		CP4	2 920		—

Required

- Prepare an Accounts Payable Control account assuming all postings for the month of July have been made, showing the appropriate posting references.**
 - Explain how each of the amounts which appear in the Accounts Payable account were obtained.**
- (LO3 and LO4)**

(a)

Accounts Payable Control A/c

Date	Post Ref	Debit	Credit	Balance
1/7	Balance			17 840
15/7	GJ8	3 200		14 640
31/7	PJ6		6 840	21 480
31/7	CPJ4	12 830		8 650

**Schedule of Accounts Payable
as at 31 July**

L. Jessup	\$2 490
R. Kent	980
W. Lau	1 780
A. Machell	3 400
B. Nicholson	—
	<u>\$8 650</u>

(b) The amounts in the Accounts Payable Control A/c were obtained as follows:

- Balance — add all opening balances in subsidiary ledger for 1/7.
- 15/7 Entry from GJ8 Purchases — Return B. Nicholson posted on that date.
- 31/7 PJ the total of all P6 entries which would have been posted at the end of month to Control A/c.
- 31/7 CPJ the total of all CP4 entries which would have been posted in total at end of month to Control A/c.

Exercise 7.14

Relating journals to the Accounts Receivable Control account

Adil & Bazhenskiy uses sales, cash receipts and general journals in its accounting system. The firm also maintains an accounts receivable subsidiary ledger, which contained the following accounts on 31 August.

J. Biddle					
Date	Explanation	Post ref	Debit	Credit	Balance
1/8	Balance				10 800
13/8		CR5		7 420	3 380
R. Dyet					
Date	Explanation	Post ref	Debit	Credit	Balance
4/8		S7	4 160		4 160
18/8		S7	3 470		7 630
23/8		CR5		3 050	4 580
B. Higgins					
Date	Explanation	Post ref	Debit	Credit	Balance
9/8		S7	7 910		7 910
21/8		CR5		3 010	4 900
D. Levi					
Date	Explanation	Post ref	Debit	Credit	Balance
1/8	Balance				7 980
12/8		CR5		3 520	4 460
25/8		S7	1 800		6 260
L. Nguyen					
Date	Explanation	Post ref	Debit	Credit	Balance
1/8	Balance				9 480
17/8		GJ5		5 370	4 110
31/8		CR5		4 110	—

Required

- Prepare an Accounts Receivable Control account after all postings for the month of June have been made with the necessary posting references.
- Explain how all the amounts which appear in the Accounts Receivable Control account were obtained. (LO3 and LO4)

(a)

Accounts Receivable Control A/c

Date	Post Ref	Debit	Credit	Balance
1/8				28 260
17/8	GJ5		5 370	22 890
31//8	SJ7	17 340		40 230
31/8	CRJ5		21 110	19 120

**Schedule of Accounts Receivable
as at 31 August**

J. Biddle	\$3 380
R. Dyet	4 580
B. Higgins	4 900
D. Levi	6 260
L. Nguyen	—
	<u>\$19</u>
	<u>120</u>

(b) The amounts in the Accounts Receivable Control A/c were obtained as follows:

- Balance — add all opening balances in subsidiary ledger for 1/8.
- 17/8 Entry from GJ5 Sales Return L Nguyen posted on that date.
- 31/8 SJ the total of all S7 entries which would have been posted at the end of month to Control A/c.
- 31/8 CRJ the total of all CR5 entries which would have been posted in total at end of month to Control A/c.

Problem 7.21**Accounting for transactions with several journals Non-GST version**

Elliott started business on 1 July 2025. The accounting system includes a sales journal, a purchases journal, a cash receipts journal, a cash payments journal and a general journal. The chart of accounts shows the following titles.

100	Cash at Bank	410	Sales Returns and Allowances
110	Accounts Receivable Control	420	Discount Received
115	Prepaid Insurance	500	Purchases
150	Office Equipment	503	Purchases Returns
201	Accounts Payable Control	510	Discount Allowed
210	Loan Payable	550	Rent Expense
300	A. Elliott, Capital	560	Insurance Expense
400	Sales	570	Sundry Expenses

During June, the transactions were as follows (ignore GST).

June	1	A. Elliott deposited \$50 000 capital in the business bank account.
	3	Paid rent for June, \$8800, by interbank transfer.
	4	Borrowed \$30 000 from the Regional Australia Bank.
	5	Purchased inventory on credit from Hendry Ltd, \$11 300, invoice 743, terms 2/10, n/30.
	6	Purchased inventory on credit from Kelly Ltd, \$4400, invoice 312, terms 2/10, n/30.
	8	Purchased office equipment, \$2520, using the business's debit card.
		Sold inventory on credit to Leschev Ltd, \$4620, terms 2/10, n/30, invoice 532.
	10	Paid for inventory purchased from Hendry Ltd, invoice 743, using an interbank transfer.
	12	Received an adjustment (credit) note from Kelly Ltd for inventory returned, \$250.
	12	Processed an electronic funds transfer to Kelly Ltd for balance owing on invoice 312.
	13	Sold inventory for cash, \$1575.
	16	Had an automatic direct debit from the bank account for a 12-month insurance policy, \$3150. The effective date of the policy was 1 June.
	17	Purchased inventory on credit from L. Mihai, \$6720, invoice 763, terms n/30.
	20	Purchased inventory on credit from F. Nunn, \$3690, invoice 506, terms 2/10, n/30.
	23	Sold inventory on credit to B. Bear, \$3150, invoice 533, terms 2/10, n/30.
	25	Received payment from Leschev Ltd in full settlement of invoice 532.
	28	Sold inventory on credit to Nottage Ltd, invoice 534, \$5250, terms 2/10, n/30.
		Paid F. Nunn in full for goods purchased on 20 June, electronic funds transfer.
	30	Processed an electronic funds transfer for \$320, for sundry expenses.
		Issued an adjustment (credit) note to Nottage Ltd for defective goods sold on 28 June, \$125.
	30	Received payment from B. Bear in settlement of invoice 533.

Required

(a) Record the transactions in the appropriate journals. Indicate how the postings would be made from the journals by entering the relevant posting references.

(LO3 and LO4)

(a)

Cash Receipts Journal

p. 1.

Date	Account	Post. Ref.	Cash at Bank	Dis. All'd	Sales	Accts. Rec'ble	Other
1/7	A.Elliott, Capital	300	50 000				50 000
4/7	Loan Payable	210	30 000				30 000
13/7	Cash Sales		1 575		1 575		
25/7	Leschev Ltd	✓	4 620			4 620	
30/7	B Bear	✓	3 087	63		3 150	
			89 282	63	1 575	7 770	80 000
			(100)	(510)	(400)	(110)	(x)

Cash Payments Journal

p. 1.

Date	Account	Trans. Type	Post. Ref.	Other	Acc/s Payable	Purchases	Cash at Bank	Dis. Rec'd
3/7	Rent Expense	BPay	550	8 800			8 800	
8/7	Off. Equip.	BPay	150	2 520			2 520	
10/7	Hendry Ltd	BPay	✓		11 300		11 074	226
12/7	Kelly Ltd	EFT	✓		4 150		4 067	83
16/7	Prepaid Ins.	Auto Dr	115	3 150			3 150	
28/7	F Nunn	EFT	✓		3 690		3 616	74
30/7	Sundry Exp.	EFT	570	320			320	
				14 790	19 140		33 547	383
				(x)	(2 01)		(100)	(420)

Sales Journal

p. 1.

Date	Invoice	Account	Post. Ref.	Amount
8/7	532	Leschev Ltd	✓	4 620
23/7	533	B Bear	✓	3 150
28/7	534	Nottage Ltd	✓	5 250
				13 020
				(110/400)

Purchases Journal

p. 1.

Date	Account	Terms	Post. Ref.	Amount
5/7	Hendry Ltd	2/10, n/30	√	11 300
6/7	Kelly Ltd	1/10, n/30	√	4 400
17/7	L Mihai	n/60	√	6 720
20/7	F Nunn	2/10, n/60	√	3 690
				26 110
				(500/201)

General Journal

p. 1.

Date	Account	Post Ref.	Debit	Credit
12/7	Accts Payable Control – Kelly Ltd	201/√	250	
	Purchases Returns	503		250
30/7	Sales Allowances	410	125	
	Accts Rec'ble Control – Nottage Ltd	110/√		125
			375	375
			(x)	(x)